

Kane Jiang, director of AA Financial Planning and a spokesperson for the Financial Planning Association of Australia, says one definition of 'good debt' is that which is tax-deductible, though this tends to apply to investors, not first home buyers. 'For would-be first home buyers, the types of debts they have are generally bad debts,' Jiang says. However, what experts generally categorise as 'bad debt' comes with caveats.

FAQs for the experts

Should I cut up my credit card?

'A bit of credit card debt is fine, as long as it is paid off in full every month,' Jiang says. 'If you have issues with discipline paying this off, then you are better off not having a credit card at all.'

Credit cards are often referred to as bad debt: debt that doesn't propel you forward financially, unlike a mortgage, which builds long-term wealth. However, when used correctly, credit cards can establish a proven track record and a healthy relationship with a lender, who may ultimately grant you a mortgage.

If you make a blunder with credit card use, just make it a small one. Mine? That was more of a whopper. And I'm not alone – one in three young Australians is worried about their amount of debt, according to Canstar Research.

Steve Mickenbecker, group executive of financial services at Canstar, says:

One of the real calls you have to make is, 'Can I control myself?' You hear so many horror stories from people who say, 'I took out a credit card and I just lost control.' It can damage your credit rating if you lose control so much that you cannot make the payments. If you think you cannot control yourself, dip your toe in the water and go with a low credit limit. If you have discovered that you cannot control credit, cut the card up – keep making repayments and start using a debit card.

If you are in the red, a balance transfer card is a tool to haul yourself back on top. Here's how it works: you shift the amount owed – the debt –